

Brazil's Credit Push Tests the Boundary Between Fiscal Policy and CRE Capital Costs

Finance Minister Durigan's claim that credit lines won't affect monetary policy is a statement the market should not take at face value.

The most important sentence in Brazil's credit policy debate is not the one Finance Minister Dario Durigan said. It is the one the market is already pricing. Durigan told G1 that credit measures introduced by President Lula's government do not undermine monetary policy. The statement is meant to reassure. For commercial real estate capital markets, it does the opposite.

It signals that the government is expanding credit access at a moment when the central bank is trying to contract it. That tension is not neutral. It is a direct input into the cost of capital for every Brazilian real estate owner, developer, and lender. The logic is straightforward. When the government directs state-owned banks or public credit lines toward specific sectors, it increases the supply of loanable funds.

That can lower borrowing costs for favored borrowers in the short term. But it also adds to aggregate demand, puts upward pressure on inflation, and forces the central bank to keep interest rates higher for longer. The net effect for commercial real estate is not cheaper capital. It is a steeper yield curve and a wider spread between what the government subsidizes and what the market requires.

For CRE owners with floating-rate debt or near-term maturities, the implication is clear. If the central bank holds the Selic rate higher because fiscal policy is pulling in the opposite direction, refinancing costs stay elevated. Loan-to-value ratios compress. Debt service coverage ratios tighten. The assets that trade will be the ones where the sponsor can absorb the spread. The rest will sit, waiting for a rate cycle that keeps getting pushed out.

Durigan's defense is that the credit lines are targeted and temporary. That may be true in design. In market perception, it is irrelevant. The market does not price intent. It prices credibility. Every time a finance minister has to publicly argue that fiscal policy is not undermining monetary policy, the market hears the opposite. The statement itself becomes a data point. Who benefits from this dynamic?

Borrowers who already have access to subsidized government credit lines, particularly in housing and infrastructure. They get a below-market cost of capital that their competitors cannot match. That advantage is real, but it is also a distortion. It concentrates capital in the hands of the government's chosen sectors, not necessarily the most productive ones. Who is exposed? Every private lender and borrower operating outside the subsidized channels.

Private credit funds, bank real estate lending desks, and developers relying on market-rate debt all face a higher cost of funds and a more uncertain rate path. The spread between government-directed credit and market credit widens. That is not a sign of a healthy capital market. It is a sign of segmentation. The broader pattern is not unique to Brazil.

Across emerging markets, the tension between fiscal expansion and monetary tightening is the defining macro story of 2026. What makes Brazil worth watching is the scale of the intervention and the directness of the channel into real estate. When the government controls a large share of mortgage and development lending, its credit policy is not just fiscal. It is the capital stack.

The next signal to watch is not another statement from the finance ministry. It is the next central bank decision. If the Selic holds or rises, Durigan's reassurance will have failed. If it cuts, the market will ask whether the cut is durable or just a pause before the next inflation print.

Either way, the cost of capital for Brazilian CRE will be decided by the credibility gap between the two institutions, not by the words of either one. The market is not asking whether the government believes its own credit lines are neutral. It is asking whether the central bank believes it. That answer is still being written in the yield curve.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co